

USD: flow wars

- The US-Iran ceasefire in early April gave risk sentiment an initial boost, reignited the Trump Always Chickens Out (TACO) trade and sent the USD weaker across the board. With the conflict unresolved and oil reserves dwindling, however, global energy prices have risen again more recently, helping the USD recover. We maintain a broadly constructive view on the currency from here:
 - We think that investors may be overly optimistic about the prospects for a quicker abatement of the Middle Eastern tensions. A continuing blockade of the flow of energy could hurt global growth prospects and erode investors' risk appetite, in a boost to the safe-haven USD.
 - We expect the US economy to outperform the economies of energy importers even if the US-Iran tensions are resolved. This much could keep global equity investors invested in the US. While worries about the US fiscal outlook may resurface, the resilient growth backdrop should offset these to a degree as was the case in 2025.
 - We believe that the Fed would remain on hold for an extended period under Kevin Warsh because the war in Iran could keep US inflation uncomfortably high in the next 12M. Persistent stagflation risks can also make the ECB and BoJ reluctant to hike rates aggressively. The USD rate advantage and thus the costs of short-USD hedges should remain considerable.
- Some clients have observed that the USD gains at the start of the Iran war proved to be short-lived even vs currencies of energy importers like the EUR and GBP. In their view, the underperformance at least partly reflects market fears about the negative impact of US policies on the USD – not the least given Iran's decision to levy tolls in CNY on ships passing through the Strait of Hormuz. The Iran war has further hurt the US fiscal outlook and thus could undermine the UST appeal.
- Our FX flow data analysis does not support the view that the Middle East tensions have reignited the 'Sell America' trade, however. We found evidence that foreign demand for US equities has recovered in the wake of the US-Iran ceasefire. This was in stark contrast with persistent outflows from the Eurozone stock markets. High USD hedging costs further meant that the US portfolio inflows remain largely unhedged.
- The USD could continue to draw support from (unhedged) equity and FDI inflows into the US as foreign investors are attracted to US technology stocks and the economy's superior growth prospects. These flows could continue to dwarf UST flows as well and thus limit the USD impact from any fiscal concerns. A less dovish Fed outlook should also continue to boost the USD rate appeal and keep it supported vs G10 low-yielders.



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The war in Iran, the ceasefire and all that

The US-Iran ceasefire in early April gave risk sentiment an initial boost, reignited the Trump Always Chickens Out (TACO) trade and sent the USD weaker. With the conflict unresolved and oil reserves dwindling, however, global energy prices have risen again more recently, helping the USD recover. We maintain a broadly constructive view on the currency from here:

1. We think that **investors may be overly optimistic about the prospects for a quicker abatement of the Middle Eastern tensions**. A continuing blockade

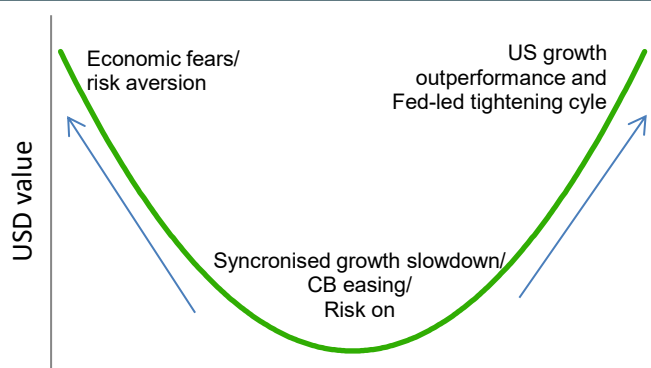
of the flow of energy **could hurt global growth prospects and thus erode investors' risk appetite, in a boost to the safe-haven USD.**

2. We expect the **US economy to outperform the economies of energy importers even if the US-Iran tensions are resolved. This much could keep global equity investors invested in the US.** While worries about the US fiscal outlook may resurface, the resilient growth backdrop should offset these to a degree as was the case in 2025.
3. We believe that **the Fed would remain on hold for an extended period under Kevin Warsh because the war in Iran could keep US inflation uncomfortably high in the next 12M.** At the same time, persistent stagflation risks can also make the ECB and BoJ reluctant to hike rates aggressively. The USD rate advantage and thus the costs of short-USD hedges should remain considerable

Is the USD smile dead or are the reports are exaggerated?

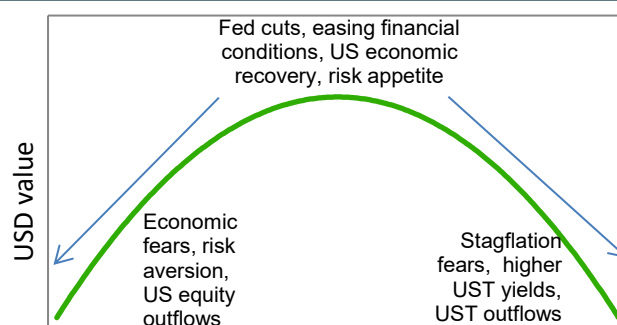
Some clients have observed that the USD gains at the start of the Iran war proved to be short-lived even vs currencies of energy importers like the EUR and GBP. In their view, the underperformance at least partly reflects market fears about the negative impact of US policies on the USD – especially given Iran's decision to levy tolls in CNY on ships passing through the Strait of Hormuz. Investors worry that attempts by the Trump administration to 'weaponize' the USD through tariffs and sanctions could encourage foreign investors to shun the currency. This has further fuelled concerns that the 'Sell America trade' could rear its ugly head again and, as a result, the USD smile would morph into a USD frown (Figure 1 and 2).

Fig 1. From USD smile to...



Source: Crédit Agricole CIB

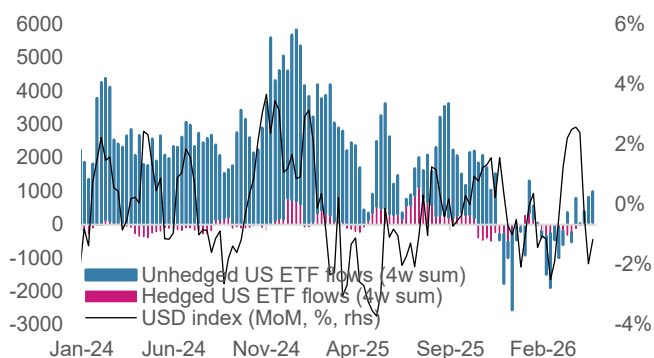
Fig 2....USD frown (sell America trade)



Source: Crédit Agricole CIB

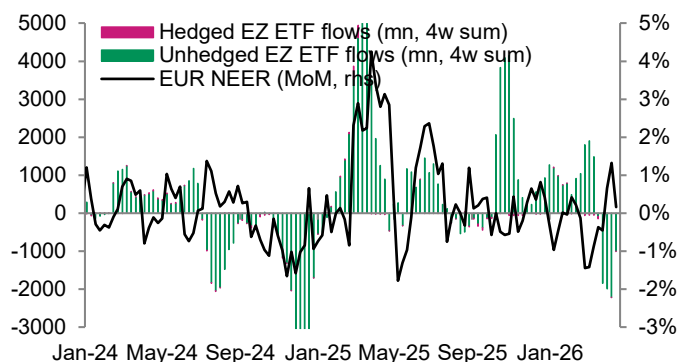
Our FX flow data analysis does not support the view that the Middle East tensions have rekindled the 'Sell America' trade, however. If anything, we find evidence that foreign demand for US equities has recovered in the wake of the US-Iran ceasefire (Figure 3).

Fig 3. Foreign demand for US (technology) stocks has recovered swiftly following the US-Iran ceasefire



Source: Crédit Agricole CIB, Bloomberg

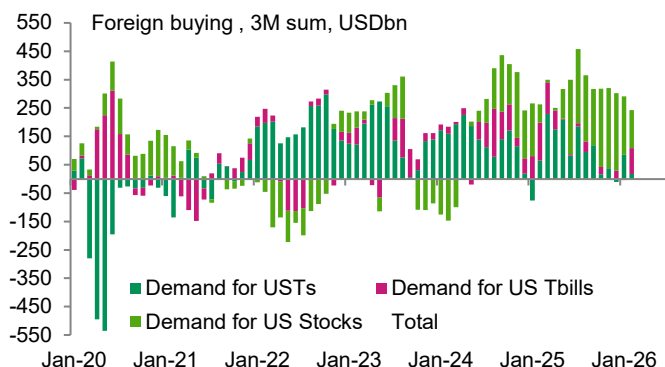
Fig 4. Growth concerns in the wake of the Iran war led to outflows from Eurozone stock markets, however



Source: Crédit Agricole CIB, Bloomberg

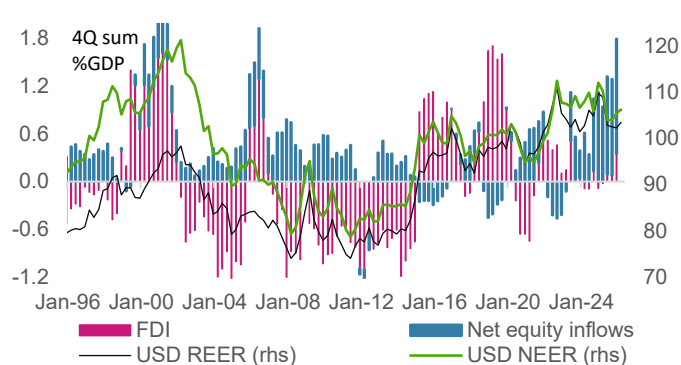
The equity portfolio inflows contrasted with the equity outflows from the Eurozone over the same period (Figure 4). We expect this divergence to persist given the lingering appeal of US technology companies and the worsening growth concerns in the Eurozone. We further note that most US equity inflows remain unhedged because USD hedging costs remain very high. This could remain the case going forward especially if the Fed delays any rate cuts in the face of sticky US inflation.

Fig 5. Foreign demand for long-term US financial assets was dominated by buying of stocks not USTs



Source: Crédit Agricole CIB, Bloomberg

Fig 6. Strong foreign inflows into the US stock market plus growing inbound FDI bode well for the USD



Source: Crédit Agricole CIB, Bloomberg

The Iran war has also hurt the US fiscal outlook, and a continuation of the conflict could lead to further widening of its fiscal deficit, in a blow to the UST appeal. We doubt that a potential slowdown of foreign demand for USTs would be detrimental for the USD, given that most of recent portfolio inflows have been in the US equity rather than fixed income markets, according to recent TIC data (Figure 5). We also note that net foreign direct investment (FDI) inflows into the US have intensified as well, according to the latest US balance of payments data (Figure 6). We expect this trend to continue in part because of the trade policies of the Trump administration. Given that most of these flows are unhedged they could continue to exhibit strong positive correlation with the USD.

Conclusions

In conclusion, we think that:

- 1. The USD underperformance for most of April can be explained mainly by weaker demand for safe-havens. That demand has been strengthening more recently, however.**
- 2. Using the USD-smile template to analyse the recent FX price action, we believe that the USD 'climbed' the left-hand side of the smile in the wake of the war in Iran in March before 'sliding down' once again following the announcement of the US-Iran ceasefire in early April (Figure 1). Any renewed escalation of the US-Iran tensions could allow the USD to ride the wave of risk aversion, climbing the USD smile once again.**
- 3. The USD should also continue to draw support from equity and FDI inflows into the US as well as its still considerable rate appeal across G10. These factors could allow the currency to start 'climbing' the right-hand side of the USD smile in the event we get a more lasting peace in Iran and a more sustained recovery of risk sentiment.**

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